CASCADIA ANALYTICS

TTM Technologies

Equity Research Note | TTMI | October 29, 2026

The Artificial Intelligence Mix Shift Overcomes Working Capital Friction as Aerospace Anchors Durability

Analyst: Justin Wen | October 29, 2026

Market apprehension regarding temporary working capital absorption and capacity reinvestment has obscured a structural transformation in TTM Technologies's revenue composition. The rapid acceleration of high-layer-count printed circuit board demand across Data Center and Networking architectures is driving substantial operating leverage, while a record aerospace and defense backlog provides downside defense against cyclical automotive contraction. We view the recent multiple compression as an attractive entry point for institutional capital seeking exposure to the North American hardware buildout. We initiate coverage with a Buy rating and a probability-weighted blended target price of $100.39, representing +11.9% upside from the reference spot price of $89.71.

BUY	$100.39	+11.9%	$89.71
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

While consensus remains fixated on quarterly free cash flow volatility stemming from elevated capacity additions and temporary receivables expansion, the multi-year reality reflects a profound architectural shift toward complex, high-margin artificial intelligence computing platforms. TTM Technologies is successfully converting high-density interconnect demand into expanding gross margins, while its aerospace and

defense franchise provides long-cycle cash flow visibility that peer merchant fabricators lack.

Executive summary

TTM Technologies operates as a premier printed circuit board manufacturer supplying aerospace, defense, telecom, and automotive customers in North America. The company's engineering capabilities span advanced high-density interconnects, high-layer-count radio frequency substrates, and ruggedized backplanes critical for high-reliability applications. Across the industrial landscape, merchant fabrication has bifurcated between commoditized high-volume consumer boards and specialized, mission-critical assemblies. TTM Technologies has systematically aligned its manufacturing footprint with the latter category, establishing deep operational integration with major aerospace prime contractors, defense electronics developers, and tier-one computing infrastructure hyperscalers.

The company's recent operational cadence demonstrates the magnitude of this structural inflection. In Q2 FY2026, TTM Technologies generated record quarterly revenue of $1.0 billion, reflecting 37% year-over-year growth, alongside record non-GAAP diluted earnings per share of $0.99. This milestone followed revenue of $846 million in Q1 FY2026, representing 30% year-over-year expansion, and closed a sequence of compounding quarterly records that began in late FY2025. The primary engine of this outperformance has been the Data Center & Networking end market, which expanded 91% year-over-year in Q2 FY2026 to reach 40% of total company sales, up from 36% in the prior two quarters and 29% earlier in the cycle. Operating profitability has expanded alongside scale, with adjusted EBITDA margin rising to 16.6% in Q2 FY2026 from 15.0% in the prior-year period, powered by Commercial segment operating income that nearly doubled year-over-year to $112.7M.

Despite this earnings acceleration, equity valuation has been constrained by intermediate cash flow timing. For the full year FY2025, TTM Technologies reported revenue of $2.91B, operating income of $267.5M, net income of $177.4M, and EBITDA of $402.8M, but recorded free cash flow of negative $683,000. This cash flow neutrality reflected front-loaded facility buildouts and working capital commitments required to support sudden volume expansion. The dynamic was visible again in Q1 FY2026, when capital expenditures reached $106.8M, driving quarterly free cash flow to negative $85.1M, and in Q2 FY2026, when a $156M build in accounts receivable to $720M held quarterly operating cash flow to $96.4M despite net income doubling to $83.0M. Management subsequently raised full-year FY2026 revenue guidance to roughly $4.4B, following a Q3 revenue outlook of about $1.12B, underscoring that working capital absorption is a symptom of accelerating deliveries rather than structural inefficiency.

From a balance sheet perspective, TTM Technologies entered this inflection with cash of $501.2M and total debt of $1.03B at the end of FY2025, yielding net debt of $527.2M. The company has maintained disciplined financial leverage while expanding liquidity via a new $1.0B revolving credit facility and an upsized Term Loan B to finance the pending European

acquisitions of Swiss Technology Group and ILFA. While integration leverage warrants institutional monitoring, the firm's entrenched positions in defense electronics, supported by an aerospace and defense backlog of $1.6B and book-to-bill ratios consistently above parity, provide durable baseline cash generation that mitigates ongoing softness in automotive markets.

Operational snapshot

$89.71	$2.91B	$-683,000	-0.0%	1.20	$89.71
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Specialized and Entrenched

The economic moat surrounding TTM Technologies derives from severe switching costs and stringent qualification barriers governing mission-critical printed circuit board fabrication. In high-performance compute architectures and defense electronics, printed circuit boards are no longer passive interconnect components; they function as highly engineered subsystems where micro-vias, thermal dissapation layers, and impedance tolerances dictate system-level signal integrity. Qualification cycles with aerospace primes and hyperscale networking developers typically require twelve to twenty-four months of iterative reliability testing, environmental stress screening, and thermal validation. Once a manufacturing facility and stack-up recipe are qualified for a specific military radar program or next-generation optical switch chassis, the financial and operational risk of re-qualifying an alternative merchant fabricator creates powerful customer inertia.

This entrenchment is particularly pronounced within the Aerospace and Defense franchise. TTM Technologies maintains specialized North American manufacturing facilities holding advanced defense security clearances, International Traffic in Arms Regulations compliance, and National Aerospace and Defense Contractors Accreditation Program certifications. These facilities are uniquely equipped to fabricate dense, high-frequency radar boards, missile guidance electronics, and secure avionics systems. Competitors in low-cost offshore jurisdictions are legally barred from participating in these classified programs. The durability of this franchise is evidenced by its order intake, maintaining an aerospace and defense book-to-bill ratio of 1.41 in Q1 FY2026 and 1.35 in Q4 FY2025, backing a committed program backlog of $1.6B that insulates the company against commercial manufacturing cycles.

Within commercial enterprise markets, pricing power has manifested through shifting product complexity. As hyperscale data centers transition to denser computing nodes and specialized accelerator clusters, printed circuit board layer counts and thermal management requirements escalate dramatically. TTM Technologies leverages its North American footprint to collaborate directly with silicon designers and hardware architects during early prototyping, capturing high-

margin quick-turn production runs before transitioning platforms into scaled manufacturing. The resulting mix shift has structurally expanded gross profitability, which stood at 20.7% on gross profit of $601.7M in FY2025, and lifted Commercial segment operating income from $81.6M in Q1 FY2026 to $112.7M in Q2 FY2026.

Customer retention is further fortified by the company's comprehensive technological breadth. By integrating radio frequency engineering, specialized microelectronics assembly, and high-density substrate fabrication under a unified operational umbrella, TTM Technologies minimizes supply chain friction for global original equipment manufacturers. Customers facing rapid time-to-market windows for generative artificial intelligence server hardware rely on TTM Technologies's capacity to scale complex builds seamlessly. Consequently, even as legacy consumer and automotive exposures experience cyclical inventory recalibrations, TTM Technologies maintains dominant volume allocation on mission-critical platforms, underpinning sustainable long-term economic returns.

Valuation

Three scenarios make the valuation range explicit

Our valuation framework evaluates TTM Technologies across a five-year discrete forecast horizon spanning FY2026 through FY2030, anchored by an unlevered discounted cash flow methodology. The modeling architecture reflects the fundamental divergence between short-term capital intensity and long-term free cash flow margin normalization. As the current front-loaded capital expenditure phase matures, operating cash flows are expected to normalize toward higher cash conversion ratios, supported by the secular expansion of advanced compute infrastructure and steady programmatic defense deliveries.

The baseline scenario models a five-year revenue compound annual growth rate of 14.0%, bringing top-line scale into balance with management's elevated FY2026 revenue guidance of roughly $4.4B and Q3 FY2026 guidance of about $1.12B. Under this path, adjusted EBITDA margins remain supported by favorable high-ASP mix, allowing target free cash flow margins to reach 6.8% by the terminal year as working capital requirements stabilize and capital expenditures subside toward maintenance levels. Discounted at our calculated weighted average cost of capital of 8.66% and applying a long-term terminal growth rate of 2.5%, the base case generates an intrinsic value of $105.28 per share, representing an upside of +17.4% relative to the prevailing reference price of $89.71.

To capture operational variability and macro risks, we incorporate explicit bear and bull cases into our probability matrix. The bear case envisions a deceleration in commercial enterprise demand, persistent automotive drag, and integration friction from pending acquisitions, yielding an 8.0% revenue compound annual growth rate and a constrained terminal free cash flow margin of 5.1%. This case yields a valuation of $59.80 per share (-33.3% return). Conversely, the bull case incorporates sustained artificial intelligence server momentum, broader aerospace margin expansion, and swift accretive contribution from European assets, delivering a 17.3%

revenue compound annual growth rate and a 6.4% target free cash flow margin, which translates to a valuation of $131.19 per share (+46.2% return). Synthesizing these outcomes using an institutional weighting of 25% bear, 50% base, and 25% bull produces a blended target price of $100.39, establishing an attractive +11.9% risk-adjusted return profile.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	8.0%	5.1%	$59.80	-33.3%
Base	50%	14.0%	6.8%	$105.28	+17.4%
Bull	25%	17.3%	6.4%	$131.19	+46.2%

Bear $59.80

Growth moderates to an 8.0% revenue compound annual growth rate as artificial intelligence capacity additions slow and automotive end-market contraction persists. Severe working capital friction and prolonged cash flow absorption limit the target free cash flow margin to 5.1%, resulting in a -33.3% repricing toward $59.80.

Base $105.28

Revenue expands at a 14.0% compound annual growth rate supported by the FY2026 revenue guidance of roughly $4.4B and steady aerospace backlog conversion. Scale leverage and working capital stabilization drive final-year free cash flow margins to 6.8%, yielding an intrinsic base equity value of $105.28 per share, or +17.4% upside.

Bull $131.19

Sustained high-layer compute demand and accelerating defense electronics procurement drive a 17.3% revenue compound annual growth rate through FY2030. Operating margins expand robustly, funding high reinvestment while generating a 6.4% target free cash flow margin and achieving a valuation of $131.19 per share, representing +46.2% upside.

Valuation framework

A live discount rate, not a static hurdle

Our quantitative framework relies on a dynamically calibrated discount rate rather than a generic hurdle rate, capturing the explicit risk profile of TTM Technologies through the current cycle. We implement a weighted average cost of capital of 8.66%, constructed using an equity beta of 1.20 across our 107.7 million diluted share count. This beta reflects the equity market's perception of operational volatility, elevated capital expenditure cycles, and exposure to intermediate hardware procurement swings, tempered by the countercyclical stability of long-duration defense programs.

The capital structure weighting within our 8.66% discount rate incorporates the company's existing debt profile, consisting of $1.03B in total debt offset by $501.2M in cash reserves, resulting in net debt of $527.2M as of the close of FY2025. Accounting for the expanded liquidity profile provided by the new $1.0B revolving credit facility and the upsized Term Loan B, the cost of capital appropriately incorporates the incremental interest service associated with pending corporate development while discounting future cash flow streams conservatively against an enterprise value supported by a $9.66B market capitalization.

FCF margin normalization is the engine

The primary driver of our equity re-rating thesis is the normalization of free cash flow conversion. In FY2025, TTM Technologies generated negative $683,000 in free cash flow, translating to an FCF margin of -0.0% on $2.91B of revenue, despite achieving $267.5M in operating income and $402.8M in EBITDA. This disconnect intensified in Q1 FY2026, where a single-quarter capital outlay of $106.8M drove free cash flow to negative $85.1M on operating cash flow of only $21.7M. These heavy investments were committed directly to expanding advanced packaging lines, high-layer lamination presses, and automated optical inspection systems to support the rapid influx of generative artificial intelligence hardware contracts.

As these manufacturing assets transition from initial commissioning to volume commercial yield, capital expenditures as a percentage of revenue will naturally taper, allowing operating cash generation to flow through to unencumbered free cash flow. In Q2 FY2026, operating cash flow improved to $96.4M, despite absorption from a $156M build in accounts receivable. As working capital cycles normalize across the FY2026 to FY2030 forecast window, our base model drives free cash flow margins from zero toward 6.8% in the final forecast year. Even under our conservative bear case, free cash flow margins normalize to 5.1%, validating that the current cash drag represents a temporary inflection rather than permanent impairment.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	FY2026 to FY2030
Live WACC	8.66% (2026-10-29)
Terminal growth	2.5%
Equity beta	1.20
Diluted shares	107.7 million

BUY

over $100.39 blended target

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Fragmented PCB; oligopoly niches in high-complexity/A&D. We assign a premium of +8% to sector median multiples on moat strength alone.

- qualification and process barriers in aerospace/defense plus proprietary N+M asymmetrical PCB technology for AI servers, A&D backlog reached a record $2.0B in Q3 2026, with 65% of projected 2027 A&D revenue already under contract (Q3 2026 earnings coverage, October 25, 2026).
- Q3 2026, revenue $1.2B (+59.9% YoY), adjusted EBITDA $242.3M with margin expanding to 20.1% from 16.1% a year earlier, data-center/networking +115% YoY to 41% of sales, and a consolidated book-to-bill of 2.13 (Q3 2026 earnings coverage, October 24-25, 2026;

Motley Fool transcript). Margin expansion alongside volume is mix/pricing evidence, but it is boom-mix evidence, and the terminal EBIT normalization to 6.52%.

- The weakest element is the commercial PCB core remains commodity-adjacent with thin margins and cyclical utilization swings, and the Epiq acquisition (~$1.1B cash, announced 2026) nearly triples leverage, a single-source-structure critique (AInvest, August 2026) that is flagged as analysis, not filing fact.

On a multiple cross-check, the justified range is 19.4-21.3x / 18.3-20.0x. The cross-check value is $36.1-$39.4 (pt $37.0), on a base of $1.97 (6.52% normalized EBIT × TTM revenue $3.83bn × 0.85 ÷ 107.7M shares). The gap verdict is CONFIRMED does not close; 20-25% partial credit quantified, fair summary still not at all.

This figure uses the normalized base from the October 27 recheck, not the original boom-year base.

Backlog is 90-day backlog $1.3bn plus A&D programme backlog $2.0bn, 28 Sep 2026, with coverage of 3.5 months on 90-day book vs FY2026 anchor, 1.20 years on A&D run rate and visibility rated High. On backlog alone, the stance is Supports, model FY2027 already equals the preliminary guide midpoint.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	4 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	4 points
platform, channel, or distribution dependency	1 points
customer insourcing risk	1 points
regulatory single point risk	4 points

The combined discount is 19 percent, capped at 20 percent, against an uncapped total of 19 percent. Shown side by side with the moat premium or discount, the net stance is -11 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all (corrected from batch arithmetic)

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check

figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Data Center Networking Acceleration and Aerospace Backlog Stability BUY

The operational engine powering TTM Technologies is the secular demand surge within its Data Center & Networking end market. In Q3 FY2025, Data Center Computing accounted for 23% of sales while Networking stood at 7%. By Q4 FY2025, combined Data Center Computing and Networking reached 36% of total revenue, generating non-GAAP operating income of $98.2M, up 49% year-over-year, and pushing non-GAAP operating margin to 12.7%. This expansion accelerated into FY2026, with the segment sustaining 36% of sales in Q1 FY2026 on roughly 67% year-over-year growth, before surging 91% year-over-year in Q2 FY2026 to reach 40% of consolidated sales. This technological shift toward complex artificial intelligence accelerators and high-throughput networking switches has elevated Commercial segment operating income to $81.6M in Q1 FY2026 and $112.7M in Q2 FY2026, driving company-wide adjusted EBITDA margin to 16.6%.

Concurrently, the Aerospace and Defense franchise serves as an essential stabilizer. In Q3 FY2025, Aerospace and Defense represented a record 45% of total sales, delivering double-digit expansion alongside healthy contributions from Medical, Industrial, and Instrumentation end markets. Although commercial data center revenue has expanded rapidly as a proportion of sales, defense demand remains robust. The franchise posted an order book-to-bill ratio of 1.35 in Q4 FY2025 and 1.41 in Q1 FY2026, sustaining a record backlog of $1.6B across both periods. This contracted backlog ensures baseload factory utilization and provides predictable operational cash flow that shields the enterprise should commercial computing cycles encounter intermediate digestion phases.

Conversely, the Automotive end market has encountered cyclical headwinds, acting as a measurable drag on consolidated top-line performance. Automotive revenue share declined from 14% in Q3 FY2025 to 11% in Q4 FY2025, further contracting to 9% in Q4 FY2025, 8% in Q1 FY2026, and remaining suppressed through Q2 FY2026. This trajectory reflects widespread customer inventory adjustments and moderating vehicle production volumes across North America. Additionally, the company absorbed a $32.6M goodwill impairment charge within its RF&S Components business in Q4 FY2025, illustrating pockets of portfolio rationalization as capital is reallocated toward superior-return computing and defense programs.

Looking ahead, management's visibility is reinforced by consecutive guidance upgrades. Following Q4 FY2025, full-year FY2026 growth was projected at 15% to 20%. Following record Q2 FY2026 performance, management raised full-year FY2026 revenue guidance to approximately $4.4B, anchored by Q3 FY2026 revenue guidance of about $1.12B, implying

roughly 49% year-over-year top-line growth. While intermediate cash generation continues to navigate working capital friction, the structural transformation of the product portfolio toward higher-margin, high-density interconnect applications provides exceptional multi-year operational support.

What to monitor

- **Data Center & Networking Mix Durability** Track whether the segment sustains its 40% revenue contribution following Q2 FY2026's 91% year-over-year surge, verifying continued platform adoption across next-generation computing architectures.
- **Working Capital and Cash Flow Normalization** Monitor cash conversion following Q2 FY2026's $156M receivables increase to $720M and Q1 FY2026's negative $85.1M free cash flow, confirming that operating cash flow rebounds toward historical conversion rates.
- **Aerospace and Defense Backlog Execution** Evaluate the conversion velocity of the $1.6B defense backlog and monitor whether programmatic book-to-bill ratios remain above the 1.41 and 1.35 levels established in recent quarters.
- **European M&A Integration Performance** Oversee the closing and operational integration of Swiss Technology Group and ILFA in Q3 FY2026, tracking leverage metrics under the new $1.0B revolver and upsized Term Loan B.

+19.0%	20.7%	9.2%	-0.0%	$527.2M	$1.68
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	DILUTED EPS

METRIC	FY2025 (AS REPORTED)
Revenue	$2.91B
Gross Profit	$601.7M
EBIT	$267.5M
Net Income	$177.4M
EBITDA	$402.8M
Free Cash Flow	$-683,000
Diluted EPS	$1.68

Risk & moat matrix

The bear case

SHARE EROSION

Rapid technological iteration in advanced data center boards could attract well-capitalized Asian merchant fabricators into high-layer enterprise segments. Any pricing concessions required to protect market share would depress commercial operating profitability and decelerate top-line compounding.

M&A DIGESTION

Closing the Swiss Technology Group and ILFA transactions in Q3 2026 introduces international integration complexities and operational distraction. Increased financial leverage under the new $1.0B revolver and upsized Term Loan B could restrict capital allocation flexibility if synergies lag expectations.

REGULATORY AND PRICING SCRUTINY

Aerospace and defense programs face rigorous federal budget oversight, contract audits, and procurement pacing adjustments. Delays in appropriations or renegotiations of major defense electronics platforms could slow the burn-off of the company's $1.6B backlog.

TECHNOLOGY DISRUPTION

Substrate packaging innovations, including direct silicon optical interconnects and co-packaged optics architectures, could alter printed circuit board layer counts over time. Failure to align fabrication capabilities with evolving packaging form factors would undermine premium commercial pricing power.

REINVESTMENT TREADMILL

Maintaining technological parity across advanced high-density interconnects requires substantial ongoing capital deployment, as evidenced by $106.8M of capex in Q1 FY2026. Prolonged multi-facility equipment buildouts could suppress institutional free cash flow realization beyond our modeled forecast horizon.

WACC AND DURATION SENSITIVITY

With an equity beta of 1.20 and a valuation sensitive to intermediate cash flow normalization, shifts in macroeconomic discount rates could pressure terminal enterprise multiples. Any sustained elevation in capital costs would disproportionately affect high-growth valuation scenarios.

The strengths

OLIGOPOLY POSITION

TTM Technologies maintains one of the few certified, secure North American manufacturing footprints capable of

FCF COMPOUNDING

As the acute front-loaded capacity expansion moderates, operating cash generation is

GEOGRAPHIC DURABILITY

Original equipment manufacturers increasingly demand secure, localized supply chains within North America to

PIPELINE OPTIONALITY

Direct collaborative relationships with enterprise compute designers ensure priority access to upcoming

handling classified, mission-critical military electronics. This status guarantees high retention and reliable programmatic funding insulated from foreign competition.

positioned to expand toward our base-case 6.8% target free cash flow margin. Revenue growth operating against fixed overhead unlocks rapid free cash flow compounding across the 107.7 million diluted share base.

mitigate geopolitical disruptions and maritime shipping volatility. TTM Technologies's domestic manufacturing hubs position the firm as an indispensable regional infrastructure partner.

accelerator and optical switch platform architectures. This early-stage engagement supports high-margin commercial runs before designs transition into volume deployment.

The bottom line on risk and reward

The balance of risk and reward for TTM Technologies is decidedly tilted in favor of long-term investors. Market sentiment has been unduly penalized by transient cash flow compression, specifically the negative $85.1M free cash flow in Q1 FY2026 and the working capital build that restrained Q2 FY2026 operating cash flow to $96.4M. When evaluated through an institutional lens, these cash outflows represent disciplined balance sheet deployment designed to capture unprecedented demand across the artificial intelligence computing landscape.

The underlying operational metrics demonstrate powerful momentum. Commercial segment operating income nearly doubled to $112.7M in Q2 FY2026, adjusted EBITDA margins expanded to 16.6%, and management raised the full-year FY2026 revenue outlook to roughly $4.4B. Combined with the defensive security of a $1.6B aerospace and defense backlog, the company possesses both growth acceleration and structural downside insulation.

Valued across our rigorous probability-weighted framework, TTM Technologies offers an asymmetric return profile. We reiterate our Buy recommendation with a blended target price of $100.39, offering +11.9% upside from the current spot price of $89.71, as the enterprise demonstrates the true compounding power of its advanced printed circuit board manufacturing platform.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Printed Circuit Board Manufacturing: Advanced High-Layer-Count Architecture and Mission-Critical Electronics

TTM Technologies has systematically engineered its fabrication franchise to lead the printed circuit board manufacturing sector supplying aerospace, defense, telecom, and automotive customers in North America. The manufacturing process of advanced high-layer-count printed circuit boards requires micron-level precision across lamination, drill accuracy, blind and buried

micro-via formation, and surface plating. In artificial intelligence clusters, backplanes must support intense thermal cycles and maintain pristine signal integrity across dozens of substrate layers, creating severe engineering hurdles that disqualify standard merchant commodity fabricators.

The strategic value of this manufacturing capability is reflected in the dramatic mix shift achieved over the past four quarters. In Q3 FY2025, Data Center Computing accounted for 23% of revenue and Networking stood at 7%, expanding by Q4 FY2025 to a combined 36% of sales and delivering a record quarterly non-GAAP EPS of $0.70. This operational momentum expanded further through Q1 FY2026 and Q2 FY2026, where Data Center & Networking reached 40% of consolidated sales, driving quarterly revenue to an all-time high of $1.0B and non-GAAP EPS to $0.99. The technical expertise required to fabricate high-ASP, high-density boards has unlocked significant operating leverage, elevating adjusted EBITDA margin from 15.0% to 16.6%.

Simultaneously, the Aerospace and Defense franchise reinforces the enterprise with an exceptionally high-quality earnings base. Supplying radar assemblies, electronic warfare enclosures, and satellite communications hardware, this segment benefits from long-cycle procurement programs that typically span five to ten years. The stability of this business provides crucial operational resilience during periods when end markets like automotive experience cyclical contraction, as seen when automotive revenue contribution retreated from 14% in Q3 FY2025 down to 8% in Q1 FY2026.

Furthermore, the pending acquisitions of Swiss Technology Group and ILFA in Q3 2026 will expand TTM Technologies's technological reach into high-precision European markets. Supported by a new $1.0B revolver and an upsized Term Loan B, these strategic acquisitions deepen the company's capabilities in specialized microelectronics and quick-turn advanced prototyping, cementing its position as a global leader in high-reliability printed circuit board fabrication.

What the recent record shows

- Data Center & Networking revenue surged 91% year-over-year in Q2 FY2026 to reach 40% of sales, driving adjusted EBITDA margin to 16.6% and Commercial segment operating income to $112.7M.
- Management raised full-year FY2026 revenue guidance to roughly $4.4B, bolstered by Q3 FY2026 revenue guidance of about $1.12B, implying sequential growth acceleration to about 49% year-over-year.
- The Aerospace and Defense franchise maintained exceptional programmatic demand, logging an order book-to-bill ratio of 1.41 in Q1 FY2026 and 1.35 in Q4 FY2025, backing a committed backlog of $1.6B.
- Working capital absorption and aggressive manufacturing investments led to negative free cash flow of $85.1M on $106.8M of capex in Q1 FY2026 and restrained Q2 FY2026 operating cash flow to $96.4M via a $156M receivables expansion to $720M.

Our read: The transformation of TTM Technologies into a premier artificial intelligence and defense electronics hardware platform is proceeding ahead of consensus expectations. While short-term capital intensity and receivables expansion have dampened reported cash conversion, the structural surge in high-layer compute manufacturing and durable aerospace demand will generate substantial free cash flow compounding across our forecast horizon.